



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Michelle Ang

Of

Unit 5 / 128 Glenlyon Road
BRUNSWICK EAST VIC 3056

Prepared on:

3rd March 2023

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

3/03/2023

Michelle Ang
Unit 5 / 128 Glenlyon Road
BRUNSWICK EAST VIC 3056

Dear Michelle,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of Investment Assets
- Tax Planning
- Superannuation contribution strategies
- Superannuation structure

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Michelle, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore options as to the best use of your surplus cash.
- Place your current and future assets under the most tax effective ownership structure.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Ms
First Name	Michelle
Surname	Ang
Gender	F
Date of Birth	11/01/1983
Age Last Birthday	40
Marital Status	Married

Employment Details

Occupation	Dentist
Employer	Contractor

Estate Planning

Michelle	
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Box Hill Residential Property (upon completion)	\$3,000,000
Total Lifestyle Assets	\$3,000,000

Investment Assets	Value
Brunswick Investment Property (to become investment property upon completion of Box Hill property build)	\$940,000
Investment Bonds - <i>Singapore</i>	\$2,700,000
Fixed Deposit Bank Account – <i>Singapore</i>	\$1,300,000
Bank of Melbourne Account	\$3,000,000
Total Investment Assets	\$7,940,000

Superannuation Assets	
Michelle	
Aware Super	\$159,199
Total Superannuation Assets	\$159,199

Total ASSETS	\$11,099,199
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LIABILITIES

NIL	\$0
Total Liabilities	\$0

NET WORTH	\$11,099,199
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Michelle, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Moderately Conservative** investor risk profile in regard to investments **inside superannuation**.

- The **Moderately Conservative** investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Also, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Conservative** investor risk profile in regards to investments **outside of superannuation**.

- A Conservative investor typically places a greater emphasis on the preservation of capital over market returns.
- A Conservative investor seeks to protect an investment portfolio's value by investing in lower-risk securities such as fixed-income and cash.
- Although a Conservative investor's strategy may protect against inflation, it may not earn significant returns over time when compared to more aggressive strategies.

A 'Conservative' investor will typically diversify their investment in the following manner:

Australian Shares	13%
International Shares	8%
Fixed Interest	50%
Property	5%
Cash	24%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Current Investment Assets

- Michelle, you are currently building a new residential property in Box Hill. Upon completion of this, you will convert your current residential property in Brunswick into an investment property:

- Brunswick Investment Property \$940,000

- Michelle, you currently have the following investments held in cash / fixed interest outside of superannuation.

• Bonds – <i>Singapore</i>	\$2,700,000
• Fixed Deposit Bank Account – <i>Singapore</i>	\$1,300,000
• Bank Of Melbourne	<u>\$3,000,000</u>
• Total	\$7,000,000

- Michelle, you would like to keep the monies invested in Bonds and the Fixed Term Deposit in Singapore. You also plan to use \$500,000 of the money held in the Bank of Melbourne account to complete the Box Hill residential property build.
- Therefore, you have **\$2,500,000** of cash available to you in Australia. You seek advice in terms of the best use of these funds.

Concessional Superannuation Contributions Carry Forward

Michelle, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Michelle**, the following concessional contributions have been made in recent years:

Financial Year	Michelle	Total Allowable Contributions
2018/19	\$24,370	\$25,000
2019/20	\$22,633	\$25,000
2020/21	\$24,607	\$25,000
2021/22	\$27,078	\$27,500
TOTAL	\$98,688	\$102,500

- Michelle, you therefore have a total of **\$3,812** in concessional 'carry forward' contributions available to you in the 2022/23 financial year.

Recommendation:

- Michelle, as your superannuation balance is less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- Michelle, continue to salary sacrifice or make personal contributions to superannuation up to the maximum limit each year.
- Additionally, contribute the remaining **\$3,812** of concessional 'carry forward contributions' available to you.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to 47% if taken as income.

Non- Concessional Superannuation Contributions

Recommendation:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Michelle	Pre 30/06/23	Non-concessional	\$110,000
Michelle	Post 1/07/23	Non-concessional	\$330,000
Total			\$440,000

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Ownership of Investments Assets Outside Of Superannuation

- You will have approximately \$2,060,000 in surplus cash available to you once you have exhausted all superannuation caps.
- You seek advice around the best structure of ownership of these funds.

The main options you have in terms of how the Investments can be owned are:

1. Self-Ownership
2. Education Bond
3. Family Discretionary Trust

Self-Ownership

Michelle, the \$2,060,000 is currently owned in your name and can remain this way. The major downside to this particular path is the investment earnings are added onto your (Michelle's) taxable income and will be taxed at the top marginal tax rate of 47%.

For Example

- If the \$2,060,000 earned a conservative return of 4%, the ATO will collect 47% of these earnings. Hence, of the \$82,400 generated in investment earnings the ATO will collect \$38,728 of these earnings.

Due to taxation downsides, self-ownership is the least attractive form of investment ownership and we have explored two other viable options that will provide greater tax benefits to you Michelle.

Family Education Bonds

Your situation

Michelle, you have two children, Nelson and Evelyn who are 9 and 6 years of age and establishing an investment vehicle to assist with the funding of their future education is a potential option to boost funds for education purposes as well as the taxation benefits it will provide.

You have \$2,060,000 million to invest initially. Each beneficiary is capped to a \$1.0 million contribution.

Testamentary Benefit:

Michelle, the monies that you have received are deemed 'estate monies' if they:

- Are testamentary in nature
- Are from a testamentary trust
- Are a direct inheritance to the student beneficiary
- **Are devolved upon the Student Beneficiary from a deceased estate within 3 years of death**
- Are a death benefit from a Superannuation Fund or life policy; or
- Are student beneficiary(s) is a beneficiary of a Child Maintenance Trust

If the Initial Contribution is a Testamentary Benefit or the Bond becomes Testamentary (due to death of the Bond Owner), **Minor Beneficiaries will be entitled to the 'Adult Tax-Free Threshold' (\$18,200 as of 2021)** when Bond Earnings are withdrawn for education purposes, and the calculator will take this into account when calculating withdrawal tax outcomes.

Any monies added to the bond after the initial amount should also be 'testamentary' as it is not possible to separate one set of earnings from the other within the bond structure and access to the adult tax-free threshold for earnings of the initial amount could be lost.

For Consideration

- Invest in a Futurity Investment Group Family Education Bond in your name and nominate your children Nelson and Evelyn as Education Beneficiaries.

Investments Within the Family Education Bond

Michelle, a range of investments options can be invested in to form your portfolio within the education bond. The investments would be aligned with your 'Conservative' Investor Risk Profile for investments outside of superannuation and timeframe of the children's education.

For Consideration

- Invest \$2,000,000 into the Futurity Diversified Indexed – Conservative option (Vanguard).

The 'target' asset allocation of Futurity Diversified Indexed - Conservative option is:

Asset Class	% of Portfolio
Australian Shares	12.00%
International Shares	16.00%
Australian Fixed Interest	18.00%
International Fixed Interest	42.00%
Emerging Markets Equities	2.00%
Cash	10.00%
	100%

By establishing a Family Education Bond, making contributions as recommended and nominating your children as Education Beneficiaries, you will be able to accumulate funds to assist funding their education.

When you make approved claims to pay for education expenses etc., certain tax consequences may occur. Below are some notes as a guide. We recommend that you consult this office before making any such claims and we will advise you of the appropriate/most tax-effective withdrawal format at the time.

- Claim for education purposes (Education Benefit Claims):
 - Covers:
 - ✓ Pre-school, primary, secondary & higher education; vocational education & training; career enhancing; adult education; special education – remedial and special needs - Australian or overseas
 - ✓ Course & tuition fees; books, devices, uniforms, excursions, travel expenses; education loan repayments (student debt) & education living expenses.
 - Capital Component – Tax-free
 - Earnings – subject to full 30% Education Tax Benefit

For example:

- Withdraw \$10,000
- You receive \$10,000
- Balance reduces by only \$7,000
- Note that the full benefit is taxable in the hands of the Education Beneficiary
- **If the Education Beneficiary is assessed as an adult**, then if their taxable income is under the effective standard tax-free threshold of \$23,227 p.a. (including LITO and LMITO) then they will pay no tax.
- **If the Education Beneficiary is assessed as a minor**, then they can only derive taxable income up to \$416 before being subject to penalty rates of marginal tax @ 66% up to \$1,307 and @ flat 45% flat over \$1,307 (see table below). It would make sense in that instance, to withdraw from the capital account only, leaving the earnings intact and continuing to grow
- You should keep receipts for any Education Benefit Claims made as Futurity and/or the ATO may request proof of education expenses

Family Education Bond Projections

Assumptions:

1. Tax liability for managed fund is funded from withdrawal at end of each year
2. Investor marginal tax rate of 47.0%
3. Taxable other income is taxed from the age 0 (If any)
4. Investments at start of month
5. Underlying investments distribute monthly and re-invested
6. Adviser estimated return 4.00% p.a. This estimated return is used in the projection.
7. Growth return of 2.27% p.a.
8. Income return of 3.16% p.a.
9. Franking level of 15.0% p.a.
10. Investment returns (June 2022) and tax assumptions (June 2022) are reviewed at least annually
11. Investment earnings are calculated on accumulated fund balance
12. Withdrawals at end of month
13. 10 year rule applies to withdrawals. Assuming not breaching 125% rule.
14. Students satisfy educational purpose test for educational bond withdrawal
15. Management fees of 0.31% (p.a.)
16. Underlying Managed Fund Fees of 0.20% (p.a.)
17. Adviser up front fee of \$0 and Adviser ongoing fee of 0.40%
18. Beneficiary / student has no other assessable income

Scenario:

- \$35,000 is drawn out of the bond per child per annum from the ages of 12-17 to accommodate for private school fees.
- Year 20 shows the closing value of the bond to be **\$2,676,145** after withdrawing **\$420,000** for education purposing and triggering tax benefits of approximately **\$65,520**.

Year	Contributions	Education Bond
1	\$2,000,000	\$2,042,594
2	\$0	\$2,086,245
3	\$0	\$2,101,015
4	\$0	\$2,121,747
5	\$0	\$2,113,030
6	\$0	\$2,109,692
7	\$0	\$2,106,271
8	\$0	\$2,102,766
9	\$0	\$2,129,137
10	\$0	\$2,150,567
11	\$0	\$2,202,492
12	\$0	\$2,250,110
13	\$0	\$2,298,910
14	\$0	\$2,348,920
15	\$0	\$2,400,172
16	\$0	\$2,452,695
17	\$0	\$2,506,521
18	\$0	\$2,561,682
19	\$0	\$2,618,212
20	\$0	\$2,676,145

Educations Bonds & Tax

FAMILY EDUCATION BOND

A 'first-of-kind' discretionary Education Bond that works like your own tailored, education-purposed family trust structure – but with the inbuilt tax-effectiveness of a conventional education bond.

You have discretion to appoint up to 10 Education Beneficiaries and can flexibly make Education Benefit Claims for some or all of them.

You may contribute up to a maximum \$660,000 (**but can increase to \$1.0 million depending on the case**) per Education Beneficiary, however this a 'self-imposed limit', with some flexibility, set by the Life Company, to show *intent* to use the bond for the purpose of education funding. With Futurity Family Education Bonds, up to 10 beneficiaries can be nominated, hence up to \$6.6mil., can be contributed.

A Family Education Bond can be established with e.g., only 1 education beneficiary is originally nominated with the *intent* that, more children will be forthcoming, the owners themselves may undertake courses and be education beneficiaries, future grandchildren may also be intended to become beneficiaries.

Such *intent*, at establishment is **not required** upon withdrawal. *Intent* in this instance is flexible, hence the ability to make non-education withdrawals, capital only withdrawals and have full discretion to apply the funds where they wish.

You have discretion to appoint and remove potential Education Beneficiaries across two broad classes comprising:

- Family Class including: you, your spouse (or partner), your children and grandchildren and other family relatives; and/or
- Friends Class covering: other persons unrelated to you, such as friends (and their children) and other sponsored or supported children.

A Family Education Bond can be set with an Investment Term of up to 99 years so it can facilitate lifelong education provisioning and intergenerational wealth transfers.

Bond Owners, such as grandparents wanting to look after large family groups (which exceed 10 Education Beneficiaries) might use multiple Family Education Bonds. For instance, one Family Bond for the grandchildren of each family branch.

Internally, Education Bond earnings are taxed at a headline 30% tax rate. This rate is effectively reduced by various credits and offsets resulting, in some cases, much lower rates. This means that the Education Bond owner benefits from improved after tax earnings and (consequently) greater bond balances.

Personal Tax Position

When you draw down funds from an Education Bond, the tax treatment differs depending on the withdrawal type (education or non-education) of the draw down as well as whether it is from the earnings component or the capital (contributions) component.

Withdrawal for non-education benefits (Other Withdrawals - Any Purpose)

- Subject to tax as an Investment Bond withdrawal
 - **Capital Component of withdrawn amount - tax-free**
 - Earnings Component of withdrawn amount – may be assessable
 - Within the first 8 years, you declare 100% of the Earnings Component in your income tax return (Futurity will inform you of this amount in the withdrawal statement). Regardless of the effective rate of internal tax Futurity has paid (30% or lower), you will receive a full 30% tax offset (of your assessable amount) when your tax return is assessed
 - Between years 8 & 9, you declare 2/3rds of the Earnings Component and the 30% offset will apply accordingly
 - Between years 9 & 10, you declare 1/3rd of the Earnings Component and the 30% offset will apply accordingly
 - **After year 10, nothing to declare, no 30% offset applies.**
 - Even within 10 years, your Earnings Component would *not* be reportable (as an assessable amount) if your withdrawal were made in certain circumstances

Note: As this is an Education Bond, unlike a standard Investment Bond, you can withdraw singularly from the capital component. This would not trigger a tax event for you and at a time suitable to you can add capital back into the bond. This add-on will be accounted for under the [125% Rule](#) for future 'non-education' purpose withdrawals.

A Tax File Number (TFN) is not required to invest in Futurity Education Bonds. Remember, tax return reporting by you regarding earnings (income or capital gains) is not required, unless you withdraw for non-education purposes as an Investment Bond and within the 10-year period (other than in described certain circumstances). Education Beneficiaries however may be required to lodge a tax return for payments made from Education Benefit Claims. We *will* advise you of the tax consequences of, and how to structure, any withdrawals you may require.

Education Benefit Claims & Other Withdrawals (Any Purpose)

Futurity Education Bonds unlike other 'ordinary-money' investments, are essentially capital in nature and do not distribute income or capital gains to you, the investor, unless an assessable withdrawal is made. The tax treatment of these withdrawals will vary depending upon their nature and upon their timing. Claims to provide education benefits are known as Education Benefit Claims. Withdrawals to provide non-education benefits are referred to as withdrawals (or more specifically, Other Withdrawals (Any Purpose)). Lakeside will assist you in managing your claims and/or withdrawals

Bond Transfers (Change of Ownership)

Futurity's Education Bonds may be transferred to any person(s) or entity at any time and provided no consideration is paid for the transfer to take place, no transfer-related tax implications may need to be considered.

The current tax status of the Education Bond (10-year 125% rule status if used to provide non-education benefits) remains intact, and transfers with the ownership and control.

125% Rule

When considering the ability to make non-education related withdrawals utilising Investment Bond Tax Rules, the taxation status of the Futurity Education Bond will not be compromised by making additional contributions, however they must not exceed 125% of the contributions made within the previous 'Education Bond' year. The '125% rule' is established under Taxation Law.

Each year you can invest up to 125% of the previous year's contribution without restarting the 10-year period for tax purposes. Refer to the Futurity Education Bond PDS for more information on the 10-year tax period.

For example, if your initial contribution in year 1 is \$10,000, you can invest up to \$12,500 ($10,000 \times 125\%$) in year 2 and so on. By contributing up to 125% of the previous year's contributions you can take advantage of the 10-year tax rule.

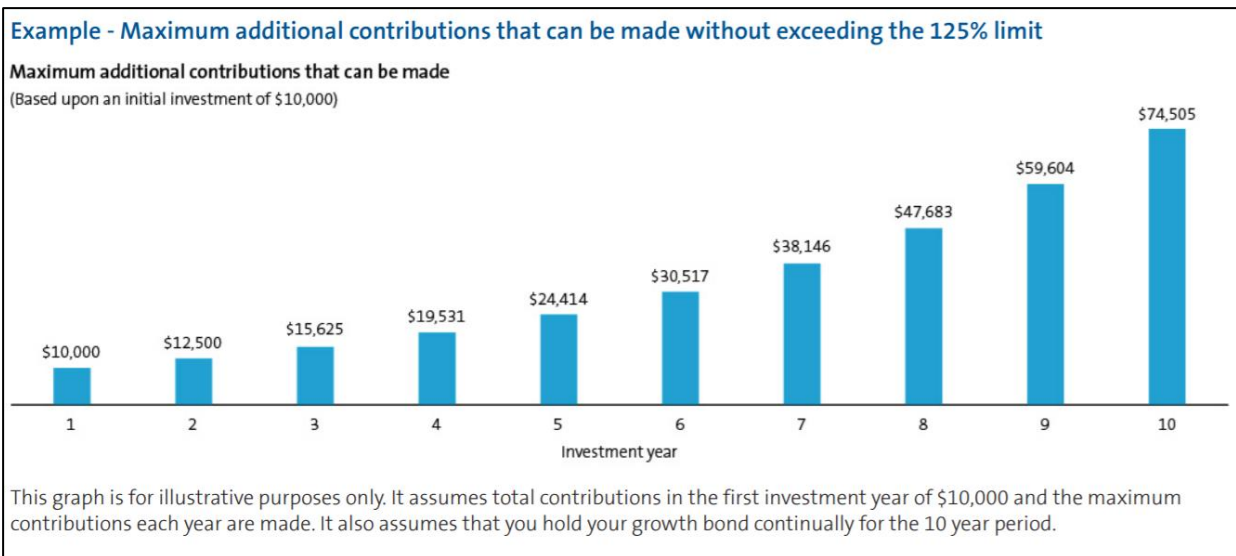
You can switch investment options at any time without resetting the 10-year tax period. This is because investment switches do not count as a contribution and are not included in the calculation of the 125% rule.

If the total contributions (in any Bond year) exceed 125% of your previous Bond year's total contributions, the '10-year tax period' will be reset and deemed to recommence at the start of that Bond year. This may not be disadvantageous depending on your marginal tax rate (MTR) in the intended year of withdrawal. Should your MTR be below 30% at the time of withdrawal, then with the application of the 30% tax offset in your tax return, you should pay no tax on the earnings of your bond and may even reduce the tax burden on your other assessable income.

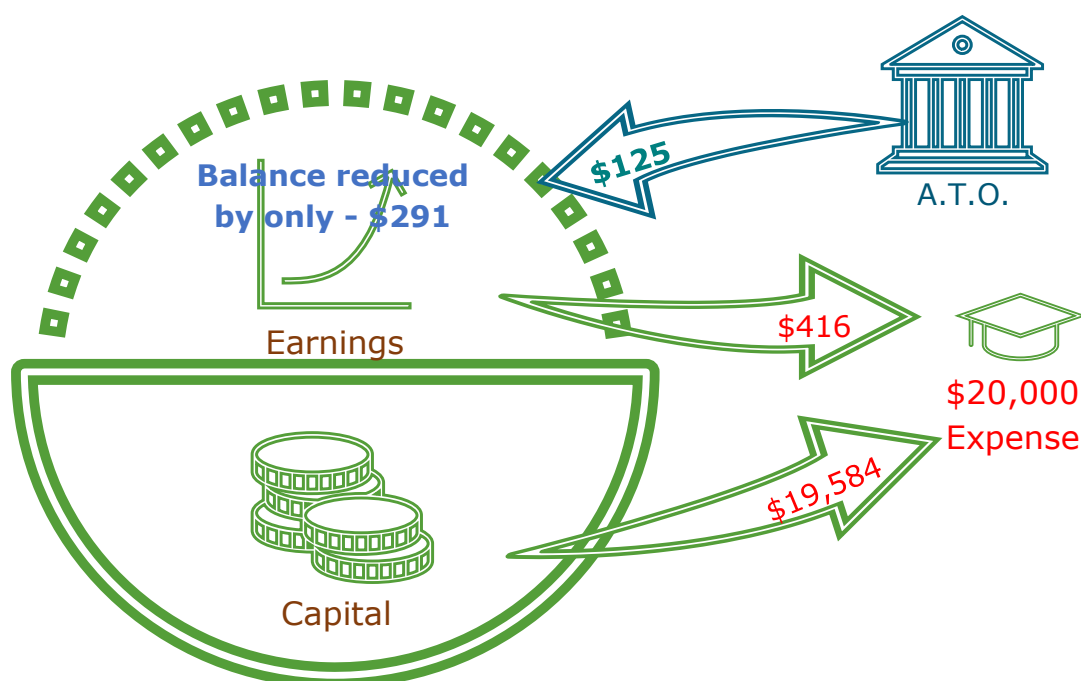
The graph below shows how the 125% rule could operate, based on an initial contribution of \$10,000.

To ensure that you are aware of how much can be contributed under the 125% rule, Futurity will provide the following information to you as part of your Annual Statement:

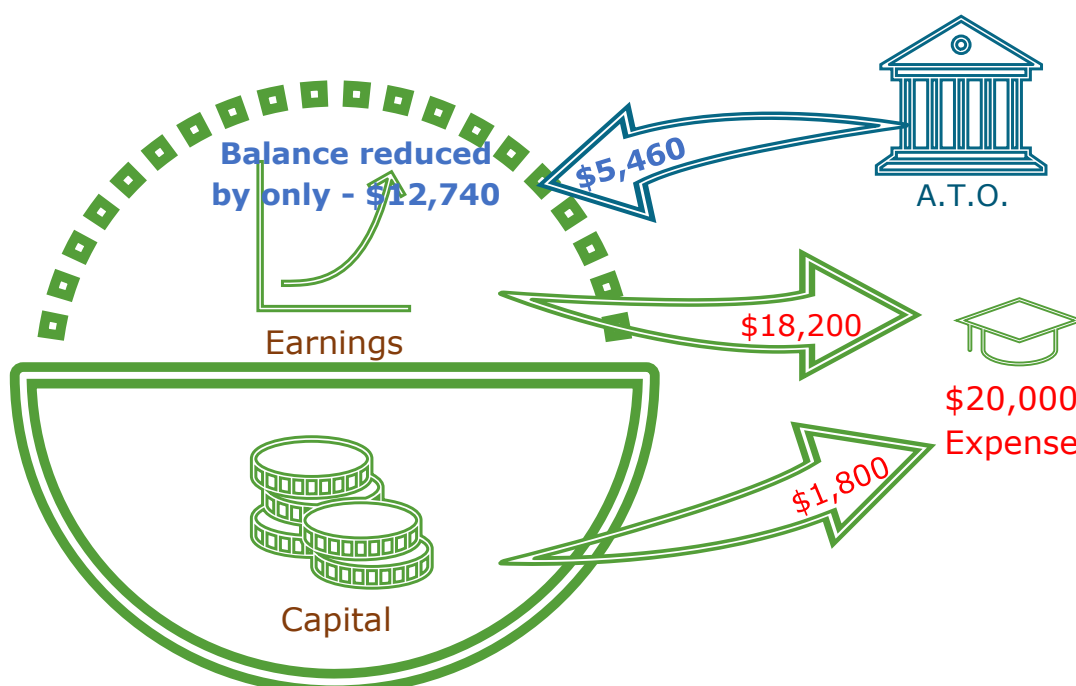
- details of the previous Bond year's contributions; and
- the allowable contribution amount in line with the 125% rule for the anniversary of the current Bond year.



Maximising the 'gross-up' Minors <18 y.o.



Maximising the 'gross-up' Adults >18 y.o.



Discretionary Family Trust

A family discretionary trust is an arrangement where assets are held by one or more individuals (or a company) with the intention that the benefit of the assets will be transferred to other specified individuals on the terms spelt out by a document called the trust deed. The benefits / earnings of the family discretionary trust can be distributed to various family members and also to a 'Bucket Company'.

A 'Bucket Company' is a company that is set up as a beneficiary to a trust. The term 'Bucket' is used because the company sits below your trust and is used to distribute the net earnings into it. This allows you to cap the earnings of the Trust at a corporate tax rate of 30% rather than the earnings being taxed at your (Michelle's) marginal tax rate of 47%.

For Consideration:

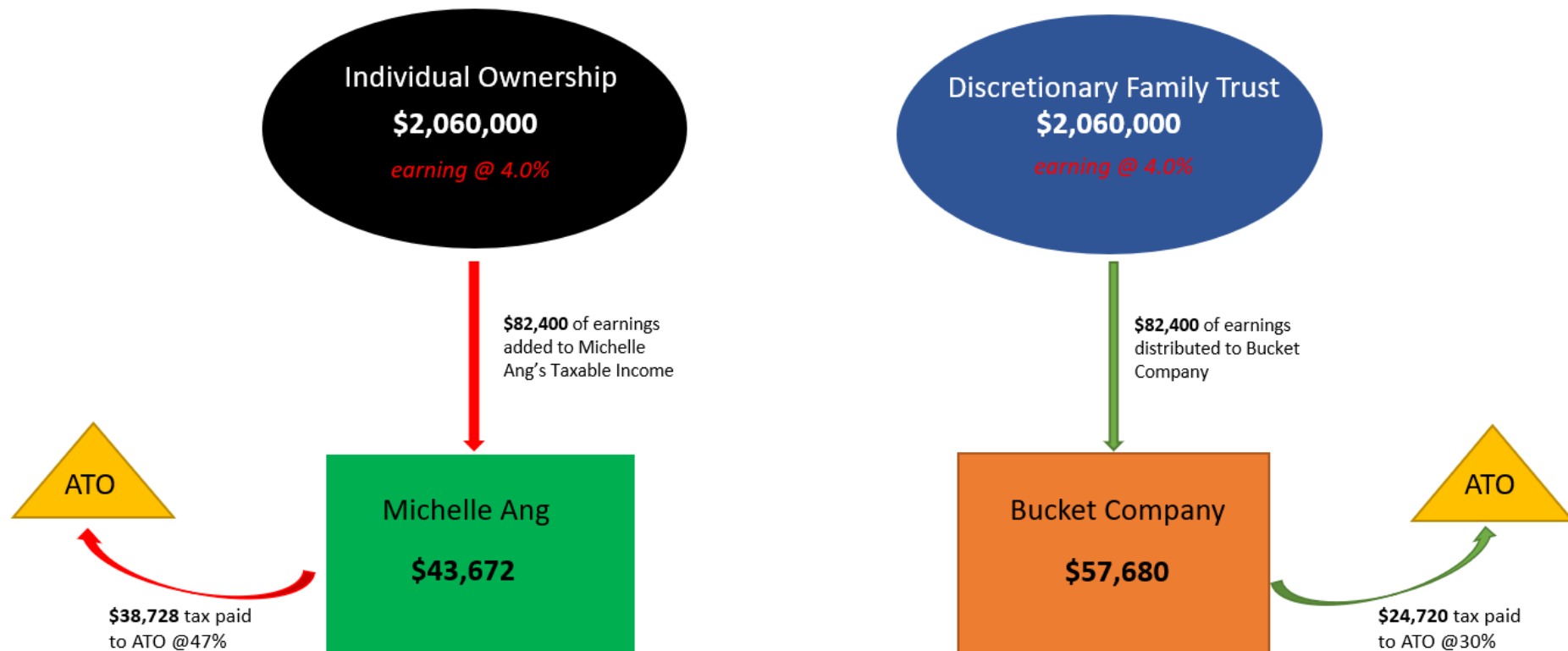
- Invest all of the surplus funds under a *Discretionary Family Trust*.
- This Trust is to be a new Trust as your husband's existing Family Trust is used for business purposes.
- Distribute the earnings to the newly set up 'Bucket Company' taxed at the corporate tax rate of 30%.

Benefits:

- The income generated by the investments within the trust may be streamed to a 'Bucket Company' (corporate tax rate of 30%).
- **Total Tax Saving:**
 - If the surplus cash is invested and generates a conservative return of 4%, the total tax saving in year 1 is anticipated to be **\$14,008** (\$38,728 – \$24,720)

Downside:

- There are additional costs involved in setting up and running a Discretionary Family Trust.



Investments Within the Family Discretionary Trust

- Michelle, you will have approximately \$2,060,000 to invest held by the 'Family Discretionary Trust'.
- You seek options and advice around the best use of these funds.
- These options may be considered in isolation or a combination thereof.

Option 1 – Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment

Proposed Portfolio

After considering your financial objective (i.e. a low risk investment that provides relatively stable returns), the current economy and economic trends, we recommend that the funds be invested in the following manner.

This structure will provide you with further diversification and access to all asset classes rather than just cash or fixed interest. An example of such a portfolio on the Colonial First State platform is as follows:

Colonial First State 'Conservative' Portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	7.00%
First Sentier Wholesale Australian Small Companies	6.00%
Colonial First State Wholesale Index Global Share	8.00%
Ironbark Wholesale Property Securities	5.00%
Perpetual Wholesale Diversified Income	24.00%
Acadian Wholesale Defensive income	50.00%
	100.00%

Performance of the Colonial First State 'Conservative' Portfolio at 31/01/2023

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Realindex Wholesale Australian Share Value	7.00%	15.30%	8.61%	9.44%
First Sentier Wholesale Australian Small Companies	6.00%	0.24%	9.41%	10.74%
Colonial First State Wholesale Index Global Share	8.00%	-7.42%	5.12%	8.46%
Ironbark Wholesale Property Securities	5.00%	-6.30%	1.19%	6.20%
Perpetual Wholesale Diversified Income	24.00%	0.72%	1.25%	1.53%
Acadian Wholesale Defensive income	50.00%	4.81%	1.35%	1.31%
	100%	2.62%	2.56%	3.41%

Option 2 – Invest In a Mortgage Fund

Consideration should be given to investing in a Mortgage Investment in an effort to achieve greater returns for your cash component. Specific Mortgage Investments provide returns from 6.5% p.a. One such Mortgage Investment provider is the CVS Lane First Mortgage Property Fund and we have provided an overview for your consideration here:

CVS Lane First Mortgage Property Fund

- The Fund's strategy is to provide Investors with strong risk adjusted returns by investing in a diversified portfolio of First Mortgage property finance transactions (Underlying Investments) with recycling of capital through reinvestment during the Investment Term. First Mortgage property finance transactions include Land Loans, Construction Loans, Commercial Property Loans and similar or related transactions.
- Investment guidelines include limits on geographical exposure, single investment exposure, maximum term of individual transactions and single borrower exposure. Upon maturity of Underlying Investments, the Fund is repaid capital (which is recycled) and **interest is distributed to Investors on a quarterly basis** (subject to availability).
- The Trustee is targeting an Investor IRR of approx. 8% (after Fund fees and expenses) over the short to medium term. Investors should note this is a target only and CVS Lane will not pursue the targeted returns at the expense of increased risk.
- The Fund has achieved a Net Investor IRR since inception of 7.90%p.a.
- The Fund will aim to pay quarterly distributions subject to cash availability from the proceeds of cash serviced loans and the receipt of capitalised interest loans which have been repaid during the quarter. This means that the amount of distributions can vary from quarter to quarter depending on the size of loans which have been repaid during the period.

Liquidity

Investors may request redemption of part or all of their investment in the Fund by notice to the Trustee.

Option 3 – Investment Properties

Brunswick Property

- Michelle, you are planning to convert your current Brunswick residential property to an investment property upon the eventual move to your newly constructed Box Hill property.
- The Brunswick property is valued at approximately \$940,000 and has no associated debt.

For consideration:

- Move ownership of the Brunswick property to the 'Family Discretionary Trust'.

Benefits:

- The rental income generated by the Brunswick property will not be added to your (Michelle's) taxable income and taxed at a rate of 47%. The rental income may instead be distributed to the 'Bucket Company' and taxed at the corporate tax rate of 30%.
- If the property is rented out at \$600 per week (\$31,200 p.a.) the tax saving each year is anticipated to be:
 - **\$5,304** (\$31,200 @47% - \$31,200 @30%)

Downside:

- By moving the ownership of the property to the 'Family Discretionary Trust' **Stamp Duty** will be triggered. This will cost approximately **\$53,786** in Stamp Duty transition ownership.

Additional Investment Property

- Consideration should also be given to investing in an additional investment property which similarly will be owned by the Family Discretionary Trust with the rental income being distributed to the Bucket Company.

Superannuation Funds

Michelle, you currently have the following superannuation fund:

Michelle

Aware Super – Account Number 10431853

- The fund currently has a balance of approximately \$159,199.

Should you make the recommended non-concessional superannuation contributions, your superannuation balance will increase to approximately **\$599,199**.

Superannuation Accumulation Funds

- You effectively have three options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing Aware Super fund.
 - Roll across these superannuation monies to a more 'fee friendly' actively managed wholesale 'master trust' superannuation accumulation platform.
 - Consider the option of a Self-Managed Superannuation Fund (SMSF).

Investments Within Superannuation

Aware Super – Account Number 10431853 (Michelle)

Michelle, you have a superannuation fund with Aware Super invested in the 'Conservative Growth' and 'Cash' options.

The asset allocation of your Aware Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	1.22%
International Shares	2.03%
Property	1.22%
Other	2.03%
Fixed Interest / Bonds	4.06%
Cash	89.44%
	100%

Current Aware Super Portfolio Profile Compared to 'Moderately Conservative' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Moderately Conservative Portfolio	Deviation
Australian Shares	1.22%	24%	-22.78
International Shares	2.03%	14%	-11.97%
Property	1.22%	10%	-8.78%
Fixed Interest	4.06%	38%	-33.94%
Cash	89.44%	14%	+75.44%
Other	2.03%	0%	+2.03%

Aware Super Portfolio Historical Performance at 31/01/2023:

	1 year	3 years (p.a.)	5 years (p.a.)
Aware Super	1.44%	0.95%	1.58%

Option 1 – Maintain Your Aware Super Fund

Michelle

You are invested in the Aware Super 'Conservative Growth' and 'Cash' options which aren't aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing Aware Super fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Moderately Conservative' Investor Risk Profile. The specific underlying funds that make up your individual portfolio is:

Michelle:

Colonial First State Wholesale Personal Super – 'Moderately Conservative' portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	8.00%
First Sentier Wholesale Australian Small Companies	8.00%
Ausbil Wholesale Australian Active Equity	8.00%
Colonial First State Wholesale Index Global Share	14.00%
Ironbark Wholesale Property Securities	5.00%
Pendal Wholesale Property Investment	5.00%
Perpetual Wholesale Diversified Income	14.00%
Acadian Wholesale Defensive income	38.00%
	100.00%

Performance of the alternative Colonial First State 'Moderately Conservative' Portfolio at 31/01/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	8.00%	15.30%	8.61%	9.44%
First Sentier Wholesale Australian Small Companies	8.00%	0.24%	9.41%	10.74%
Ausbil Wholesale Australian Active Equity	8.00%	13.24%	9.20%	10.07%
Colonial First State Wholesale Index Global Share	14.00%	-7.42%	5.12%	8.46%
Ironbark Wholesale Property Securities	5.00%	-6.30%	1.19%	6.20%
Pendal Wholesale Property Investment	5.00%	-5.28%	0.23%	6.10%
Perpetual Wholesale Diversified Income	14.00%	0.72%	1.25%	1.53%
Acadian Wholesale Defensive income	38.00%	4.81%	1.35%	1.31%
	100%	2.61%	3.65%	4.93%

Benefits:

- The alternative portfolios have outperformed your current funds over the longer term.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Michelle

Type of Fee or Cost	Aware Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> 0.15% p.a. + \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	NIL	\$2,400 p.a.

Outcomes Post Implementation - Michelle:

- The Colonial First State Wholesale '**Moderately Conservative**' portfolio has **outperformed** your fund over the past 5 years by an average of **3.35% p.a.** Based on your current balance, **this equates to \$5,333 p.a. (\$26,666 over a 5-year period).**

Option 3 – Self-Managed Superannuation Fund (SMSF)

Benefits:

- Flexibility and control of your investment decisions
- The ability to purchase investment assets that cannot be purchased via other types of superannuation funds (e.g. direct property).
- The ability to borrow to invest.

Downsides:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.
- As trustee of an SMSF, there are many obligations that you must understand as there may be significant penalties applied should these obligations be breached.

Self-Managed Superannuation Fund (SMSF) Vs Master Trust

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number.
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.
5. Manage your funds' investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee,

you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.

6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.

Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of managed funds under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a trustee in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the unit price for each investment and allocated to the investor
- Income from the underlying assets is paid to the master trust and then distributed to members
- Franking credits are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Superannuation Fund Costs

A guide to the fee structure under a SMSF is as follows:

Type of Fee or Cost	SMSF (Self-Managed Super Fund) p.a.
One-off set up cost of SMSF	\$3,000+GST
Annual Accounting Fees and Audit (estimated)	\$2,500+GST
One-off Bare Trust set up cost (at time of borrowing)	\$2,500+GST

Whilst an SMSF may prove costly to set up, additional benefits may be obtained such as tax minimisation and the ability to borrow to invest within the superannuation environment.

Self-Managed Superannuation Funds – Key Considerations

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day-to-day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Michelle, as the trustee of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

**A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for*

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non-statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.

The fund's investments may include:

- direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
- property trusts and associated investments, direct residential, industrial or commercial property investment
- managed investments and associated products
- bank and other financial institution securities including term deposits and debentures
- secured and unsecured notes and bonds
- any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long-term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	40% - 45%	43%
International shares	22% – 27%	25%
Property	15% - 20%	17%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Borrowing to invest in Property in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

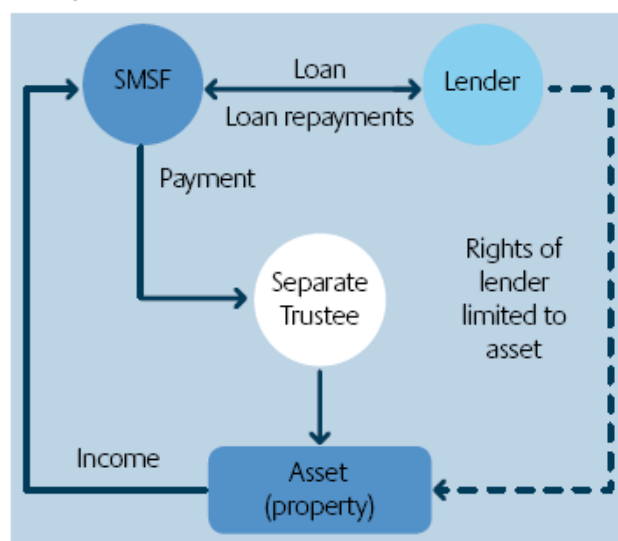
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However, we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

Michelle, you have a ‘basic’ Will that does not have ‘Testamentary Trust’ provisions.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non-Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$4,000+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented. This will be disclosed prior to any investments being implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.